

[21. **Indian Railway annuities.** — By the East Indian Railway Company Purchase Act, 1879 (*b*), certain annuities were authorized to be created for the purpose of carrying out the terms which had been agreed upon between the Secretary of State for India and the Railway Company, and by sect. 37 any trustee having power under the instrument constituting his trust to invest the trust funds in the shares or stock of any Indian railway the interest on which is guaranteed by the Secretary of the State, may invest such trust funds in the purchase of annuities of Class B. thereby authorized to be created." Under this section the Court has, upon the application of a tenant for life, sanctioned the conversion into annuities of Class B. of Bank Annuities in Court (*c*).

22. **Church trustees.** — Church trustees incorporated under the Compulsory Church Rate Abolition Act, 1868, are by that Act empowered to invest any funds in their hands in Government or real securities (*d*).]

23. **Trustee, if expressly empowered, may lend on personal security.** — A trustee may lend even on *personal* security, where he is *expressly empowered* to do so by the instrument creating the trust (*e*). But no such authority is communicated by a direction to place out the money at interest *at the trustee's discretion* (*f*), or *on such good security as the trustee can procure, and may think safe* (*g*). And if joint trustees be empowered to lend on personal security, they *may not lend to one of themselves*, for the settlor must be taken to rely upon the united vigilance of *all* the trustees with respect to the solvency of the *borrower* (*h*): and trustees having a power, with the *consent of the tenant for life*, to lend on ** personal security*, cannot lend on personal secu- [*317]

[*b*) 42 & 43 Vict. c. ccvi.]

[*c*) *Re Mansel*, 30 W. R. 133.]

[*d*) 31 & 32 Vict. c. 109, s. 9.]

(*e*) See *Forbes v. Ross*, 2 B. C. C. 430; S. C. 2 Cox, 113; *Paddon v. Richardson*, 7 De G. M. & G. 563.

(*f*) See *Pocock v. Reddington*, 5 Ves. 794; *Potts v. Britton*, 11 L. R. Eq. 433; *Bethell v. Abraham*, 17 L. R. Eq. 24.

(*g*) *Wilkes v. Steward*, G. Coop. 6; *Styles v. Guy*, 1 Mac. & G. 422; *Attorney-General v. Higham*, 2 Y. & C. C. C. 634; and see *Mills v. Osborne*, 7 Sim. 30; *Westover v. Chapman*, 1 Coll. 177.

(*h*) — *v. Walker*, 5 Russ. 7; and see *Stickney v. Sewell*, 1 M. & Cr. 14; *Westover v. Chapman*, 1 Coll. 177.